

Kotak Mahindra Bank Ltd (KOTAKBANK)

ROE 14.01%	ROCE 7.23%	NPM 32.39%
D/E 4.00	Revenue CAGR 13.52%	FCF 6,766.00

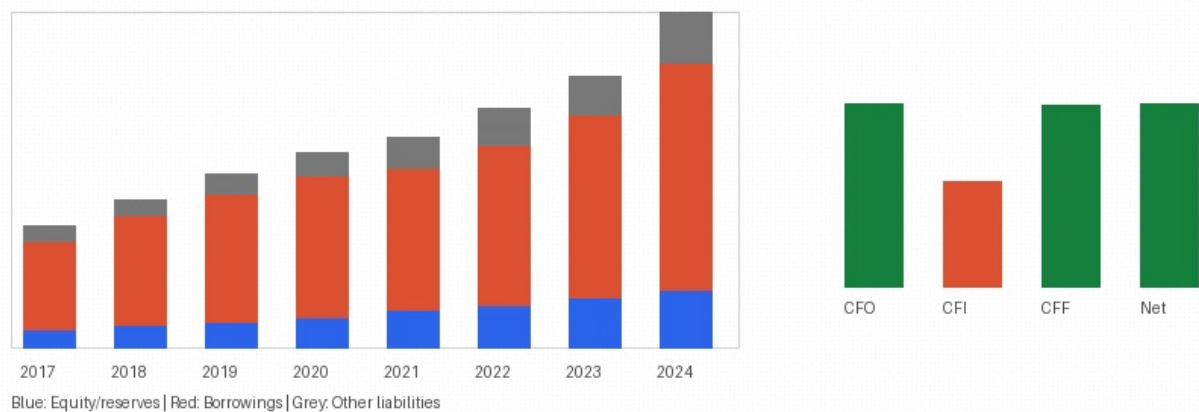
Sector: Financials | **Sub-sector:** Private Banks

Kotak Mahindra Bank is a diversified financial services group providing a wide range of banking and financial services including Retail Banking, Treasury and Corporate Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory services, Asset Management, Life Insurance and General Insurance.[1]

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Operating profit margin above 25% indicates strong pricing power and cost discipline	Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
Net profit compounding at above 20% over 5 years creates significant shareholder value	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Mixed